

FINANCE COMMISSION

FISCAL-FEDERAL GAPS AND THE → ARTICLE 280 INSTITUTION AND → DIVISIBLE POOL AND TWO-STAGE → HORIZONTAL FORMULA: EQUITY, COST → GRANTS UNDER ARTICLES 275 → LOCAL-BODY AUGMENTATION THROUGH STATE

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g3 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 FISCAL-FEDERAL GAPS AND THE CONSTITUTIONAL ARTICLE CHAIN

FISCAL-FEDERAL GAPS AND THE CONSTITUTIONAL ARTICLE CHAIN ROOT PROBLEM UNION HAS BROADER BUOYANT TAXES; STATES CARRY SERVICE-HEAVY EXPENDITURE VERTICAL IMBALANCE UNION VERSUS ALL STATES SIZE OF STATES' COLLECTIVE SHARE. HORIZONTAL IMBALANCE DIFFERENCES AMONG STATES INTER SE DISTRIBUTION FORMULA.

ROOT PROBLEM

Union has broader buoyant taxes; States carry service-heavy expenditure duties.

VERTICAL IMBALANCE

Union versus all States → size of States' collective share.

CONSTITUTIONAL BASIS / ARTICLE

- ROOT PROBLEM
- Union has broader buoyant taxes; States carry service-heavy expenditure duties.
- VERTICAL IMBALANCE
- Union versus all States → size of States' collective share.

POWER / PROCEDURE

- HORIZONTAL IMBALANCE differences among States → inter se distribution formula.
- ARTICLE CHAIN
- 270 divisible taxes
- 271 Union surcharges

CHECK / LIMIT

- 275 grants-in-aid
- 279 net proceeds and CAG certification
- 280 Finance Commission
- 281 report + explanatory memorandum

FEDERAL / RIGHTS IMPACT

- 282 public-purpose grants.
- CORE DISTINCTION gross tax revenue != net proceeds != divisible pool != State share != grants.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CORE DISTINCTION gross tax revenue != net proceeds != divisible pool != State share != grants.

01

STAGE 01 ARTICLE 280 INSTITUTION AND AWARD LIFECYCLE

ARTICLE 280 INSTITUTION AND AWARD LIFECYCLE PRESIDENT CONSTITUTES EVERY FIFTH YEAR OR EARLIER IF NECESSARY. CHAIRMAN + FOUR OTHER MEMBERS. FINANCE COMMISSION ACT, 1951 PUBLIC-AFFAIRS EXPERIENCE. OTHER MEMBERS JUDICIAL QUALIFICATION GOVERNMENT FINANCE/ACCOUNTS FINANCIAL ADMINISTRATION

President constitutes every fifth year or earlier if necessary.

Chairman + four other members.

FINANCE COMMISSION ACT, 1951

Chairman → public-affairs experience.

Other members → judicial qualification

CONSTITUTIONAL BASIS / ARTICLE

- President constitutes every fifth year or earlier if necessary.
- Chairman + four other members.
- FINANCE COMMISSION ACT, 1951

POWER / PROCEDURE

- Chairman → public-affairs experience.
- Other members → judicial qualification
- government finance/accounts financial administration

CHECK / LIMIT

- OPERATING DESIGN
- President appoints and fixes terms through constituting order
- Commission determines procedure → civil-court-type evidentiary powers.

FEDERAL / RIGHTS IMPACT

- ARTICLE 281 recommendations + explanatory memorandum on action taken
- laid before each House of Parliament.
- LIMIT recommendations are expert and advisory, not self-executing decrees.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Other members → judicial qualification | government finance/accounts financial administration | economics.

02

STAGE 02 DIVISIBLE POOL AND TWO-STAGE TAX DEVOLUTION

DIVISIBLE POOL AND TWO-STAGE TAX DEVOLUTION GROSS UNION TAX COLLECTION MINUS COLLECTION COST CAG-CERTIFIED NET PROCEEDS. ARTICLE 271 SURCHARGES + APPLICABLE SPECIFIC-PURPOSE CESSSES. ARTICLE 270 DIVISIBLE POOL VERTICAL SHARE FOR ALL STATES HORIZONTAL ALLOCATION AMONG STATES. CALCULATION FIREWALL

GROSS UNION TAX COLLECTION minus collection cost → CAG-certified net proceeds.

Article 271 surcharges + applicable specific-purpose cesses.

ARTICLE 270 DIVISIBLE POOL

vertical share for all States

horizontal allocation among States.

CONSTITUTIONAL BASIS / ARTICLE

- GROSS UNION TAX COLLECTION minus collection cost → CAG-certified net proceeds.
- Article 271 surcharges + applicable specific-purpose cesses.

POWER / PROCEDURE

- ARTICLE 270 DIVISIBLE POOL
- vertical share for all States

CHECK / LIMIT

- horizontal allocation among States.
- CALCULATION FIREWALL

FEDERAL / RIGHTS IMPACT

- State X devolution = divisible pool x vertical percentage x State share.
- 41% applies to shareable net proceeds, not gross tax revenue.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 41% applies to shareable net proceeds, not gross tax revenue.

02

STAGE 02

DIVISIBLE POOL AND TWO-STAGE TAX DEVOLUTION

DIVISIBLE POOL AND TWO-STAGE TAX DEVOLUTION

GROSS UNION TAX COLLECTION MINUS COLLECTION COST

CAG-CERTIFIED NET PROCEEDS.

ARTICLE 271 SURCHARGES + APPLICABLE SPECIFIC-PURPOSE CESSSES.

ARTICLE 270 DIVISIBLE POOL

VERTICAL SHARE FOR ALL STATES

HORIZONTAL ALLOCATION AMONG STATES.

CALCULATION FIREWALL

GROSS UNION TAX COLLECTION minus collection cost → CAG-certified net proceeds.

Article 271 surcharges + applicable specific-purpose cesses.

ARTICLE 270 DIVISIBLE POOL

vertical share for all States

horizontal allocation among States.

CONSTITUTIONAL BASIS / ARTICLE

POWER / PROCEDURE

CHECK / LIMIT

FEDERAL / RIGHTS IMPACT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 41% applies to shareable net proceeds, not gross tax revenue.

03

STAGE 03

HORIZONTAL FORMULA: EQUITY, COST AND INCENTIVES

HORIZONTAL FORMULA

EQUITY, COST AND INCENTIVES

FORMULA PURPOSES NEED/EQUITY

SERVICE COST

DEMOGRAPHIC INCENTIVE

FC-15, 2021-26 INCOME DISTANCE 45

POPULATION 15

AREA 15

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
FORMULA PURPOSES need/equity	population 15	FC-16, 2026-31	area 10 forest 10
service cost	area 15	GSDP distance 42.5	GDP contribution 10.
demographic incentive	demographic 12.5 forest/ecology 10	population 17.5	TEST equity remains dominant, but contribution gains explicit weight.
FC-15, 2021-26 income distance 45	tax/fiscal effort 2.5.	demographic 10	

CONSTITUTIONAL BASIS / ARTICLE

POWER / PROCEDURE

CHECK / LIMIT

FEDERAL / RIGHTS IMPACT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TEST equity remains dominant, but contribution gains explicit weight.

04

STAGE 04

GRANTS UNDER ARTICLES 275 AND 282

GRANTS UNDER ARTICLES 275 AND 282

ARTICLE 275

PARLIAMENT MAY PROVIDE GRANTS-IN-AID OF REVENUES OF STATES IN

FINANCE COMMISSION ROLE RECOMMEND PRINCIPLES GOVERNING ARTICLE 275 GRANTS

ARTICLE 282

UNION OR STATE MAY MAKE GRANTS FOR ANY PUBLIC

BHIM SINGH (2010) SUPPORTS THE BREADTH OF ARTICLE 282

TAX DEVOLUTION GRANT SHARE IN COMMON TAX POOL TRANSFER

Parliament may provide grants-in-aid of revenues of States in need and constitutionally specified welfare/administration grants.

ARTICLE 275

FINANCE COMMISSION ROLE recommend principles governing Article 275 grants and award-specific grant categories within terms

ARTICLE 282

CONSTITUTIONAL BASIS / ARTICLE

POWER / PROCEDURE

CHECK / LIMIT

FEDERAL / RIGHTS IMPACT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.

05

STAGE 05

LOCAL-BODY AUGMENTATION THROUGH STATE FINANCE COMMISSIONS

LOCAL-BODY AUGMENTATION THROUGH STATE FINANCE COMMISSIONS

73RD AND 74TH AMENDMENT LINK

ARTICLE 280(3)(BB)

AUGMENT STATE CONSOLIDATED FUND FOR PANCHAYATS.

ARTICLE 280(3)(C)

AUGMENT STATE CONSOLIDATED FUND FOR MUNICIPALITIES.

TEXTUAL BASIS RECOMMENDATIONS OF THE STATE FINANCE COMMISSION UNDER

FLOW LOCAL FUNCTIONS AND FINANCES

73RD AND 74TH AMENDMENT LINK

ARTICLE 280(3)(BB) — AUGMENT STATE CONSOLIDATED FUND FOR

ARTICLE 280(3)(C) — AUGMENT STATE CONSOLIDATED FUND FOR

TEXTUAL BASIS RECOMMENDATIONS OF THE STATE FINANCE

FLOW LOCAL FUNCTIONS AND FINANCES — FFC RECOMMEND

FINANCE COMMISSION • TILE 2/5 • same master rows 2336-5570 of 12576 • continues below

CONSTITUTIONAL BASIS / ARTICLE

- ARTICLE 275
- Parliament may provide grants-in-aid of revenues of States in need and constitutionally specified welfare/administration grants.

POWER / PROCEDURE

- FINANCE COMMISSION ROLE recommend principles governing Article 275 grants and award-specific grant categories within terms of reference.
- ARTICLE 282

CHECK / LIMIT

- Union or State may make grants for any public purpose even beyond the ordinary legislative field.
- Bhim Singh (2010) supports the breadth of Article 282 public-purpose grants.

FEDERAL / RIGHTS IMPACT

- TAX DEVOLUTION GRANT share in common tax pool transfer for need/purpose/design formula entitlement may be conditional or category-specific.
- Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.

05

STAGE 05

LOCAL-BODY AUGMENTATION THROUGH STATE FINANCE COMMISSIONS

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AUGMENT STATE CONSOLIDATED FUND FOR PANCHAYATS.

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AUGMENT STATE CONSOLIDATED FUND FOR MUNICIPALITIES.

TEXTUAL BASIS RECOMMENDATIONS OF THE STATE FINANCE COMMISSION UNDER

FLOW LOCAL FUNCTIONS AND FINANCES

73RD AND 74TH AMENDMENT LINK

→ Article 280(3)(bb) → augment State Consolidated Fund for Panchayats.

→ Article 280(3)(c) → augment State Consolidated Fund for Municipalities.

→ TEXTUAL BASIS recommendations of the State Finance Commission under Articles 243I and 243Y.

→ FLOW local functions and finances → SFC assessment

CONSTITUTIONAL BASIS / ARTICLE

- 73RD AND 74TH AMENDMENT LINK
- Article 280(3)(bb) → augment State Consolidated Fund for Panchayats.
- Article 280(3)(c) → augment State Consolidated Fund for Municipalities.

POWER / PROCEDURE

- TEXTUAL BASIS recommendations of the State Finance Commission under Articles 243I and 243Y.
- FLOW local functions and finances → SFC assessment
- Union Finance Commission augmentation recommendation

CHECK / LIMIT

- Union budget/guidelines → State fund → eligible local bodies.
- ACCOUNTABILITY accounts + audit + timely SFCs + transparent release + service outcomes.
- Union local-body grants supplement; they do not replace State devolution, own revenue or the constitutional role of State Finance Commissions.

FEDERAL / RIGHTS IMPACT

- TEXTUAL BASIS recommendations of the State Finance Commission under Articles 243I and 243Y.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Union local-body grants supplement; they do not replace State devolution, own revenue or the constitutional role of State Finance Commissions.

06

STAGE 06

DISASTER FINANCE: RESPONSE, MITIGATION AND RELEASE CONTROLS

DISASTER FINANCE

RESPONSE, MITIGATION AND RELEASE CONTROLS

DISASTER-MANAGEMENT FINANCE

FINANCE COMMISSION WORKS WITH THE DISASTER MANAGEMENT ACT FRAMEWORK.

STATE LEVEL

SDRF RESPONSE + SD MF MITIGATION.

NATIONAL LEVEL

NDRF RESPONSE + NDMF MITIGATION.

DISASTER-MANAGEMENT FINANCE

Finance Commission works with the Disaster Management Act framework.

→ STATE LEVEL

→ SDRF response + SD MF mitigation.

CONSTITUTIONAL BASIS / ARTICLE

- DISASTER-MANAGEMENT FINANCE
- Finance Commission works with the Disaster Management Act framework.
- STATE LEVEL

POWER / PROCEDURE

- SDRF response + SD MF mitigation.
- NATIONAL LEVEL
- NDRF response + NDMF mitigation.

CHECK / LIMIT

- FC-16 FIVE-YEAR ENVELOPES
- State funds: Rs 2,04,401 crore
- national funds: Rs 79,406 crore.

FEDERAL / RIGHTS IMPACT

- CONTROL award envelope != annual budget != release != expenditure.
- Conditions, contribution ratios, accounts and events govern access.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Conditions, contribution ratios, accounts and events govern access.

07

STAGE 07

FC-14, FC-15 AND FC-16: DATED AWARD TRAJECTORY

FC-14, FC-15 AND FC-16

DATED AWARD TRAJECTORY

FOURTEENTH FINANCE COMMISSION

STATES' VERTICAL SHARE RAISED FROM 32% TO 42%.

FIFTEENTH FINANCE COMMISSION

41% VERTICAL SHARE; SIX HORIZONTAL CRITERIA INCLUDING DEMOGRAPHIC PERFORMANCE

SIXTEENTH FINANCE COMMISSION CONSTITUTED 31 DECEMBER 2023

REPORT SUBMITTED 17 NOVEMBER 2025

FOURTEENTH FINANCE COMMISSION: 2015-20

→ States' vertical share raised from 32% to 42%.

→ FIFTEENTH FINANCE COMMISSION: 2021-26

→ 41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort.

→ SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025

CONSTITUTIONAL BASIS / ARTICLE

- FOURTEENTH FINANCE COMMISSION: 2015-20
- States' vertical share raised from 32% to 42%.
- FIFTEENTH FINANCE COMMISSION: 2021-26

POWER / PROCEDURE

- 41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort.
- SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025
- award period 2026-27 to 2030-31

CHECK / LIMIT

- Explanatory Memorandum tabled 1 February 2026.
- DATED CONTROL
- 41% vertical share accepted for 2026-31.

FEDERAL / RIGHTS IMPACT

- Per-capita GSDP distance carries the largest horizontal weight, 42.5%
- GDP contribution appears with 10% weight.
- LIMIT report recommendation, government acceptance and annual implementation must remain separate.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT report recommendation, government acceptance and annual implementation must remain separate.

07

STAGE 07 FC-14, FC-15 AND FC-16: DATED AWARD TRAJECTORY

FC-14, FC-15 AND FC-16 DATED AWARD TRAJECTORY FOURTEENTH FINANCE COMMISSION STATES' VERTICAL SHARE RAISED FROM 32% TO 42%. FIFTEENTH FINANCE COMMISSION 41% VERTICAL SHARE; SIX HORIZONTAL CRITERIA INCLUDING DEMOGRAPHIC PERFORMANCE

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- 41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort.
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- LIMIT report recommendation, government acceptance and annual implementation must remain separate.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT report recommendation, government acceptance and annual implementation must remain separate.

08

STAGE 08 FC-16 GRANTS, FISCAL ROADMAP AND RESPONSE STATUS

FC-16 GRANTS, FISCAL ROADMAP AND RESPONSE STATUS FC-16 REPORT GOVERNMENT RESPONSE 41% VERTICAL SHARE + REVISED HORIZONTAL FORMULA LOCAL-BODY AND DISASTER GRANT DESIGNS 3% STATE DEFICIT BASELINE ACCEPTED IN PRINCIPLE. UNION 3.5% PATH AND WIDER REFORMS

CONSTITUTIONAL BASIS / ARTICLE

FC-16 REPORT → GOVERNMENT RESPONSE

41% vertical share + revised horizontal formula: accepted.

Local-body and disaster grant designs: accepted.

POWER / PROCEDURE

3% State deficit baseline: accepted in principle.

Union 3.5% path and wider reforms: separate examination.

No RDG, sector or State-specific grants recommended: taken note of.

CHECK / LIMIT

FY 2026-27 BUDGET

Rs 1.4 lakh crore for local-body and disaster grants.

STATUS RULE recommended != accepted != budgeted != released.

FEDERAL / RIGHTS IMPACT

3% State deficit baseline: accepted in principle.

CONSTITUTIONAL BASIS / ARTICLE

- FC-16 REPORT → GOVERNMENT RESPONSE
- 41% vertical share + revised horizontal formula: accepted.
- Local-body and disaster grant designs: accepted.

POWER / PROCEDURE

- 3% State deficit baseline: accepted in principle.
- Union 3.5% path and wider reforms: separate examination.
- No RDG, sector or State-specific grants recommended: taken note of.

CHECK / LIMIT

- FY 2026-27 BUDGET
- Rs 1.4 lakh crore for local-body and disaster grants.
- STATUS RULE recommended != accepted != budgeted != released.

FEDERAL / RIGHTS IMPACT

- 3% State deficit baseline: accepted in principle.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATUS RULE recommended != accepted != budgeted != released.

09

STAGE 09 CESSES, SURCHARGES AND THE SHRINKING-BASE DEBATE

CESSES, SURCHARGES AND THE SHRINKING-BASE DEBATE CONSTITUTIONAL EXCLUSION ARTICLE 271 SURCHARGE AND APPLICABLE SPECIFIC-PURPOSE CESSSES STAY OUTSIDE MECHANISM MORE EXCLUDED LEVIES DIVISIBLE POOL MAY LAG GROSS TAX REVENUE 41% OPERATES ON A NARROWER BASE.

FC-16 POSITION NO CAP OR INCLUSION RECOMMENDATION; ANNUAL DISCLOSURE

REFORM LADDER DISCLOSURE

CONSTITUTIONAL BASIS / ARTICLE

- CONSTITUTIONAL EXCLUSION
- Article 271 surcharge and applicable specific-purpose cesses stay outside sharing.

POWER / PROCEDURE

- MECHANISM more excluded levies → divisible pool may lag gross tax revenue
- 41% operates on a narrower base.

CHECK / LIMIT

- FC-16 POSITION no cap or inclusion recommendation; annual disclosure of CAG-certified net proceeds.
- REFORM LADDER disclosure → periodic review/sunset → wider fiscal bargain

FEDERAL / RIGHTS IMPACT

- legal or constitutional redesign only if adopted.
- CONSTITUTIONAL EXCLUSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REFORM LADDER disclosure → periodic review/sunset → wider fiscal bargain.

10

STAGE 10 FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFC

FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFC FINANCE COMMISSION ARTICLE 280 PERIODIC EXPERT BODY TAX DEVOLUTION + GRANTS + FISCAL ADVICE. GST COUNCIL ARTICLE 279A CONTINUING UNION-STATE FORUM

Article 280
Article 279A
NITI AAYOG executive-resolution policy platform
Articles 148-151
Articles 243I/243Y

periodic expert body
continuing Union-State forum
strategy and cooperative dialogue no Article 280 transfer award.
audits and certifies net proceeds under Article 279 does not allocate the divisible pool.
State-local fiscal relations every five years.

tax devolution + grants + fiscal advice.
GST recommendations and bargaining.

CONSTITUTIONAL BASIS / ARTICLE

- FINANCE COMMISSION

POWER / PROCEDURE

- Article 279A

CHECK / LIMIT

- strategy and cooperative dialogue no Article 280 transfer award.

FEDERAL / RIGHTS IMPACT

- State-local fiscal relations every five years.

Article 271 surcharge and applicable specific-purpose cesses stay outside sharing.

41% operates on a narrower base.

REFORM LADDER disclosure → periodic review/sunset → wider fiscal bargain

CONSTITUTIONAL EXCLUSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REFORM LADDER disclosure → periodic review/sunset → wider fiscal bargain.

10

STAGE 10

FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFC

FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFC

FINANCE COMMISSION

ARTICLE 280

PERIODIC EXPERT BODY

TAX DEVOLUTION + GRANTS + FISCAL ADVICE.

GST COUNCIL

ARTICLE 279A

CONTINUING UNION-STATE FORUM

Article 280	periodic expert body	tax devolution + grants + fiscal advice.
Article 279A	continuing Union-State forum	GST recommendations and bargaining.
NITI AAYOG executive-resolution policy platform	strategy and cooperative dialogue no Article 280 transfer award.	
Articles 148-151	audits and certifies net proceeds under Article 279 does not allocate the divisible pool.	
Articles 243I/243Y	State-local fiscal relations every five years.	

CONSTITUTIONAL BASIS / ARTICLE

FINANCE COMMISSION

Article 280

periodic expert body

tax devolution + grants + fiscal advice.

GST COUNCIL

POWER / PROCEDURE

Article 279A

continuing Union-State forum

GST recommendations and bargaining.

Mohit Minerals (2022) → recommendations persuasive, not legislative commands.

NITI AAYOG executive-resolution policy platform

CHECK / LIMIT

strategy and cooperative dialogue no Article 280 transfer award.

Articles 148-151

audits and certifies net proceeds under Article 279 does not allocate the divisible pool.

STATE FINANCE COMMISSION

Articles 243I/243Y

FEDERAL / RIGHTS IMPACT

State-local fiscal relations every five years.

TRAP coordination, distribution, strategy, audit and State-local review are different functions.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP coordination, distribution, strategy, audit and State-local review are different functions.

11

STAGE 11

PYQ ROUTES, TRAPS, REFORMS AND ANSWER SPINE

PYQ ROUTES, TRAPS, REFORMS AND ANSWER SPINE

CORE DEBATES CESSSES/SURCHARGES AND DIVISIBLE-POOL EROSION

EQUITY VERSUS INCENTIVE DATA LAG AND CLIMATE/ECOLOGY COSTS

TIED SCHEMES VERSUS STATE AUTONOMY LOCAL-BODY ABSORPTION AND ACCOUNTABILITY

DEBT AND OFF-BUDGET OPACITY.

PRELIMS FIREWALL

CHAIR + FOUR

FIVE YEARS OR EARLIER

CORE DEBATES cessses/surcharges and divisible-pool erosion

equity versus incentive data lag and climate/ecology costs

tied schemes versus State autonomy local-body absorption and accountability

debt and off-budget opacity.

PRELIMS FIREWALL

CONSTITUTIONAL BASIS / ARTICLE

CORE DEBATES cessses/surcharges and divisible-pool erosion

equity versus incentive data lag and climate/ecology costs

tied schemes versus State autonomy local-body absorption and accountability

debt and off-budget opacity.

PRELIMS FIREWALL

POWER / PROCEDURE

five years or earlier

President constitutes

Article 281 requires report and memorandum vertical != horizontal

Article 275 != Article 282

SFC != Union Finance Commission

CHECK / LIMIT

PYQ ROUTES

2018 constitution/ToR

2021 Fourteenth FC

2023 horizontal criteria

2025 Fifteenth FC facts

FEDERAL / RIGHTS IMPACT

MAINS SPINE define imbalance → article chain → transfer mechanism → award evidence

contested incentive/autonomy effect → implementation qualification

predictable, transparent and accountable fiscal-federal verdict.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MAINS SPINE define imbalance → article chain → transfer mechanism → award evidence.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

PART A — CONSTITUTION & COMPOSITION (ART 280)

PART B — FUNCTIONS

PART C — ADVISORY ROLE & FISCAL FEDERALISM

PART D — 16TH FINANCE COMMISSION (CURRENT)

RECOMMENDATIONS ARE ADVISORY, NOT BINDING — BUT (DR. P.V.

TILL 2014 THE FC'S ROLE WAS UNDERMINED BY THE

"NET PROCEEDS"

OPTIONAL DOCTRINE / CASE

PART A — CONSTITUTION & COMPOSITION (Art 280)

PART B — FUNCTIONS

PART C — ADVISORY ROLE & FISCAL FEDERALISM

PART D — 16th FINANCE COMMISSION (current)

ADVANCED LIMIT

CAUTION: Recommendations are advisory, NOT binding — but (Dr. P.V. Rajamannar , 4th FC chain) "should not be

Till 2014 the FC's role was undermined by the Planning Commission (a non-constitutional, non-statutory

"Net proceeds" = tax proceeds minus cost of collection , certified by the CAG (final).

16th FC chaired by Arvind Panagariya , constituted Dec 2023 ; award period 2026–31 . Report

COMPARATIVE NUANCE

Vertical devolution retained at 41% of the divisible pool (states had demanded 50%) — same as the 15th FC.

New horizontal formula adds a "Contribution to GDP" (10%) criterion:

Shift toward performance/compliance-based transfers; revenue-deficit grants discontinued ; large

NOT: FC has a chairman + 5 members → chairman + 4 members .

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels

FINANCE COMMISSION • TILE 5/5 • same master rows 9342-12576 of 12576 • end